

SME 2.0 The Story So Far

Number of people signing up in online marketplaces increased and sustained during the pandemic

Demonetisation and then the Covid-19 pandemic provided the initial push needed for businesses to adopt technology

SMEs are leveraging low-cost tech to manage transactions, supply chain logistics, and access financial services

Entrepreneurs, especially women, are signing up from Tier III and IV cities, as opposed to the earlier trend of people joining from Tier I and II cities

SMEs and entrepreneurs are increasingly marketing and selling their products and services using social media channels



JUMPING THROUGH THE HOOPS

Research shows that around 85 per cent of MSMEs remain underserved in terms of credit and finance availability

Fintech start-ups are enabling MSMEs to access credit and finance using digital platforms

Informal sector MSMEs have to comply with too many regulations to avail credit from institutional lenders

Despite innovation in digital lending, most of the credit and finance is small in size and disbursed as unsecured loans

Although aided by digital analytics, disbursements and collections, the physical route is still preferred for large-sized loans

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came after it was learnt that SMEs are keen to adopt digital solutions that simplify the way they do business—the focus had to be on growth, but they wanted a platform to meet all their requirements.

PLAYING OUT WELL

The need for digitisation varies depending on the industry and also the extent to which the SME owner demonstrates an openness to adopting it. There is an investment that comes with it but it is left to the owner to strike the right cost-benefit equation. So, where does technology come into play? Y.S. Chakravarti, MD & CEO of SME financing major Shriram City Union Finance—which has assets under management of ₹14,500 crore—says there has been a marked change in the way business is done by SMEs. “Be it having an online presence, adopting cloud solutions, getting on to social media, data tracking with data and analytics tools, or manual operations being automated—the objective is to improve efficiency, productivity and keep up with competitors,” he says. There are such examples across the spectrum—from traditional *kirana* stores using a spreadsheet program to maintain inventory and manage receivables to

an engineering unit digitising its product brochures.

Industry experts say what has transpired over the past five to six years has been unprecedented. Instamojo’s Gehani says e-commerce taking off in a big way was the first big event. “We then saw demonetisation followed by the pandemic. All that expedited the belief that an online presence was a must.” There were a few takeaways through the process, he adds. While the number of people who signed up on Instamojo shot up from less than 1,000 to over 1,500 per day, that growth has sustained, indicating that the change is clearly underway. That’s not all. The composition of those who came aboard was now vastly different—around two-thirds were from Tier III and IV towns, while in the past, that proportion was from Tier I and II towns. Finally, the direct-to-consumer (D2C) story had women entrepreneurs, which took off sharply—from around 30 per cent in the past to 60 per cent now.

THE PANDEMIC PUSH

In many ways, while demonetisation set the pace, the pandemic hastened the process of digitisation. A CRI-SIL report says over 65 per cent of the respondents in